

BEFORE THE
FEDERAL MARITIME COMMISSION



DOCKET NO. 25-04

CHINA UNITED LINES, LTD,

COMPLAINANT,

v.

AMAZON.COM SERVICES LLC

and

AMAZON LOGISTICS INC.

and

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.

RESPONDENTS.

VERIFIED AMENDED COMPLAINT

Complainant China United Lines, Ltd (“China United” or “Complainant”), by the undersigned attorneys, files this Verified Amended Complaint against Respondents Amazon.com Services LLC (“Amazon Services”), Amazon Logistics Inc. (“Amazon Logistics”), and Beijing Century Joyo Courier Service Co., Ltd. (“Beijing Century”) (herein each a “Respondent” and collectively “Respondents” or “Amazon”), alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant China United is a foreign entity organized and existing under the laws of China, with its principal place of business at Building 12, Lane 706 Wuxing Street, Pudong District, Shanghai 201204, China.

2. China United is an ocean carrier that has provided containership transportation between Asia and the United States. China United conducted business in the United States through its wholly-owned subsidiary C.U. Lines Ltd. (“CUL”). CUL is a vessel operating “ocean common carrier” as that term is defined by 46 U.S.C. § 40102(7) and (18) and at all relevant times has been registered with and subject to regulation by the Federal Maritime Commission (the “FMC” or “Commission”), having FMC Organization No. 029412.

II. RESPONDENTS

3. Respondent Amazon Services is a limited liability company organized and existing under the laws of the State of Delaware, with a business address at 410 Terry Avenue North, Seattle, WA 98109.

4. Respondent Amazon Logistics is an entity organized under the laws of the state of Delaware, with its principal place of business at 410 Terry Avenue North Seattle, Washington 98109. Amazon Logistics is a non-vessel operating common carrier (“NVOCC”) pursuant to 46 U.S.C. § 40102(17), having FMC Organization and License No. 027218.

5. Respondent Beijing Century is a foreign entity with an address at Unit 2501, 25f, Block A, Ocean International Center No. 56 East 4th Ring Road, Chaoyang District, Beijing 100025, China. Beijing Century is an unlicensed (registered) foreign-based NVOCC pursuant to 46 U.S.C. § 40102(17), having FMC Organization No. 025852.

III. JURISDICTION

6. The Commission has jurisdiction under the Shipping Act of 1984, as amended, (“the Shipping Act”), 46 U.S.C. §§ 40501, 40502, 41102, and 41104 et al. to regulate ocean common carriers, ocean tariffs, ocean carrier rates, practices and prohibited acts, and does so through its regulations at 46 C.F.R. Parts 502, 515, and 520 et al. The Commission further has jurisdiction under 46 U.S.C. § 40502 of the Shipping Act to regulate ocean service contracts and does so in its regulations at 46 C.F.R. Part 530 et al. (such applicable FMC regulations, collectively, the “Regulations”). The Commission has authority to adjudicate complaints pursuant to 46 U.S.C. § 41301(a).

7. The Commission has jurisdiction over Amazon Logistics and Beijing Century as regulated and registered NVOCCs as defined in 46 U.S.C. § 40102(17) and as “persons” under 46 U.S.C. § 41102.

8. The Commission has authority to rule on violations of the Shipping Act that occur in connection with ocean common carrier rates, charges, and service contracts. Of paramount importance is the Commission’s obligation to ensure the legality of service contracts, 46 U.S.C. § 40502 and 46 C.F.R. Part 530.1, and to ensure service contracts comply with the Commission's Regulations. 46 U.S.C. § 41107(a).

9. This Amended Complaint is being filed pursuant to 46 U.S.C. § 41301. China United is seeking reparations and other relief for injuries proximately caused by violations of the Shipping Act.

10. Amazon’s actions alleged herein constitute violations of the Shipping Act under 46 U.S.C. § 41102(a) and (c) and 46 U.S.C. § 41104(a)(1).

IV. STATEMENT OF THE CASE

11. China United was, at all relevant times, an ocean common carrier engaged in the transportation of goods by sea. During all relevant periods, China United published base rates and additional charges for 20-foot and 40-foot equivalent container units (“TEUs” and FEUs” respectively) through the Shanghai Shipping Exchange. China United and CUL published an additional ocean tariff through a tariff publisher, www.tariffdatasystems.com which was listed on the Commission’s website for such periods.

12. China United, acting through its affiliate CUL, provided ocean transportation services from foreign ports to United States ports.

13. In April 2022, China United and Amazon entered into agreements for China United to provide transportation services, including ocean transportation, to Amazon. The terms of these agreements were set forth in several documents, including the Main Transportation Agreement (“MTA”) dated April 7, 2022, the Work Order dated April 29, 2022 (the “Work Order”), which was later amended without affecting the relevant terms (together, the MTA and Work Order, as amended, the “Service Contract”), and a Nondisclosure Agreement (“NDA”) dated March 29, 2022, which is incorporated by reference in the Service Contract.

14. The Service Contract was intended to be a service contract within the meaning of applicable FMC rules and regulations, structured as a master or main terms agreement with specific ocean pricing terms and rates set forth in addenda and other “Work Order” documents incorporated therein by reference. The Service Contract had an initial two (2) year term commencing on April 7, 2022. The Service Contract defined the applicable shipping periods as “Contract Year 1,” running from May 1, 2022 to April 30, 2023, and “Contract Year 2,” running from May 1, 2023 through April 30, 2024.

15. The Service Contract obligated China United, through its subsidiaries designated as “affiliates” therein, including CUL, to provide ocean transportation services to Amazon adequate to transport Amazon’s agreed “Minimum Quantity Commitment” under the Service Contract.

16. Under the Service Contract, Amazon could tender cargo “either directly or through its agents or suppliers, as a beneficial cargo owner (“BCO”) or non-vessel operating common carrier (“NVOCC”).”

17. Amazon functioned as a shipper in U.S. foreign commerce by ocean and is considered a “person” subject to the Shipping Act. Under the Service Contract, Respondents Amazon Logistics and Beijing Century were authorized to receive transportation services. Amazon Logistics and Beijing Century, at all relevant times, operated as NVOCCs regulated by and registered with the FMC under 46 C.F.R. §§ 515 and 530.

18. Amazon, on behalf of itself and its affiliates, represented to China United when negotiating the Service Contract that it intended to ship a significant volume of goods, necessitating the establishment of favorable contract rates and charges between the parties.

19. Based on Amazon’s representations, the Service Contract contemplated that Amazon and its affiliates for each contract year would arrange carriage on China United’s vessels for a significant number of FEUs of containerized cargo at fixed rates.

20. The Service Contract provided for certain ports, base rates, charges and other price terms, service commitments, and minimum quantity commitments, to be valid from May 1, 2022 to April 30, 2024, and other terms and conditions therein and incorporated by reference from the MTA and NDA.

21. Unless the Service Contract was terminated earlier pursuant to its terms, the term of the parties' contractual relationship, including Amazon's obligation to pay China United for services rendered, was set to expire on April 30, 2024.

22. The MTA allowed either party to terminate the MTA or a Work Order (such as the Service Contract¹) for convenience, i.e., without cause, with 90 days' prior written notice. The MTA provided that upon termination, each party would continue to owe any amounts accrued under the contract through termination. If Amazon terminated the Service Contract for convenience, the Service Contract outlines the calculation of damages owed to China United, including the "Early Termination Tender Shortfall" at China United's election, and the "Tender Shortfall Liquidated Damages" based on the containers booked by Amazon relative to China United's capacity commitment. The MTA also provides for termination for cause by either party with 30 days' written notice following the other party's failure to cure a breach within 30 days of notice. The MTA also provides for immediate termination for cause in the event of violation of certain representations, warranties, and covenants, and in the event of violation of Section 7 of the MTA (Confidentiality).

23. However, the Work Order subsequently entered between the parties after final amendments required by Amazon provided that China United as the service provider could not terminate the Service Contract for convenience. The Work Order further stated that if Amazon terminated "for cause" Amazon's Minimum Quantity Commitment would be deleted and Amazon would owe no amounts for liquidated damages for bookings shortfalls.

¹ The Service Contract included a specific limitation on China United's termination right in the MTA which is not relevant to this Amended Complaint.

24. Following the entry of the Service Contract, Amazon began booking shipments with China United and CUL, and CUL carried such shipments from China to U.S. West Coast ports. CUL's vessels carried a large number of Amazon containers under the Service Contract during the period from service commencement in April 2022 through March 2023.

25. On April 1, 2023, Amazon provided written notice to China United that it was electing to terminate the MTA and Service Contract for convenience and without cause, stating the termination would be "effective as of May 30, 2023."

26. Amazon's termination for convenience triggered Amazon's obligation to pay China United liquidated damages under the Service Contract for the difference between the FEUs actually booked by Amazon from contract inception through such termination date, and the full FEUs of Amazon's Minimum Quantity Commitment for each of Contract Years 1 and 2, through April 30, 2024, subject to certain specific adjustments.

27. In accordance with the Service Contract and the rates and charges contained therein, on April 26, 2023, the parties engaged in discussions for conclusion and termination, including calculating the liquidated damages compensation owed to China United pursuant to the Service Contract. On that same day, Amazon emailed China United its calculations of the amount owed to China United, which Amazon stated to be \$31,560,000 under the Service Contract terms.

28. On May 10, 2023, China United confirmed with Amazon its agreement with the calculation method and total figure that was owed, reiterating the parties' agreement as to that early termination penalty on May 23, 2023.

29. On May 18, 2023, Amazon emailed China United responding that it would pay undisputed outstanding invoices per the agreement terms, within 45 days.

30. After the contract was validly terminated by Amazon for convenience, “effective as of May 30, 2023” per Amazon’s written notice, and was no longer in effect, Amazon attempted to revise the termination to “for cause” as a pretext to avoid paying the contractual liquidated damages.

31. On June 7, 2023, Amazon emailed China United that it was issuing a “notice of termination” for cause and it would no longer be making payments to China United in accordance with the Service Contract.

32. In its June 7, 2023 notice, Amazon for the first time claimed that China United had violated Section 7 of the MTA (Confidentiality), which refers to China United’s “unauthorized use and disclosure of Confidential Information” because China United had posted material on the Chinese social network WeChat disclosing that China United was carrying cargo for Amazon.

33. Amazon itself had published an extensive WeChat post on July 4, 2022 identifying China United as Amazon’s business partner.

34. Amazon’s July 4 WeChat post identified China United as a “business partner” and further discussed the parties’ commercial relationship in detail, including pricing and shipment schedules. Amazon also provided information about its China United carrier relationship to the shipping trade press, leading to publication of articles in July 2022 containing this same information. Amazon made additional similar WeChat posts on August 9 and December 9, 2022².

35. All of China United’s posts complained of by Amazon were published after Amazon’s own July 4, 2022 WeChat post. China United’s posts do not reveal any confidential information, as defined in the NDA and Service Contract. Due to Amazon’s own July 4, August

² See <https://mp.weixin.qq.com/s/OTFRbD8YyjkIAZLSjfJeQw>;
<https://mp.weixin.qq.com/s/hxYPvj85hR4ZfAkt11QLNA>.

9, and December 9, 2022 public disclosures through WeChat posts and press contacts, all such information had lawfully entered the public domain and was no longer “Confidential” within the meaning of the NDA or Service Contract. CUL’s WeChat posts essentially just re-posted the information in Amazon’s posts with less detail, together with other non-confidential information.

36. To date, Amazon’s July 4 WeChat posts stating that China United is a “business partner” of Amazon, and Amazon’s additional WeChat posts from August 9 and December 9, 2022 remain public and visible on WeChat.

37. China United’s WeChat posts appeared in mid-2022, well before the termination of the Service Contract, and during the period when Amazon was continuing to book cargo with China United, taking advantage of China United’s discounted Service Contract rates and charges. Amazon did not claim that China United’s posts violated Section 7 of the MTA until after Amazon booked all its shipments at Service Contract rates, the Service Contract had already been validly terminated by Amazon itself for Amazon’s convenience, without cause, and Amazon had agreed to pay \$31,560,000 toward a settlement of the estimated amount due for liquidated damages.

V. VIOLATIONS OF THE SHIPPING ACT

COUNT I - VIOLATIONS OF 46 U.S.C. § 41102(a) (Obtaining Transportation at Less Than Applicable Rates by Pretextual Actions)

38. By reason of the facts alleged in the foregoing paragraphs, Respondents violated the Shipping Act, by knowingly and willfully, directly and indirectly, by unlawful means, obtaining ocean transportation services for less than applicable rates.

39. The Shipping Act at 46 U.S.C. §41102(a) provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair

device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

40. China United entered into a Service Contract with Amazon that provided substantially lower rates and charges than China United's published ocean rates and charges, based on the premise that Amazon would commit contractually to shipping significant volumes of cargo with China United, and would be contractually obligated to pay agreed liquidated damages if Amazon failed to meet its Minimum Quantity Commitment.

41. On April 1, 2023, after Transpacific market shipping rates had fallen below the Service Contract rates, Amazon terminated the Service Contract "for convenience" by written notice to China United in accordance with the Service Contract's terms, stating in its notice that the contract would terminate "effective as of May 30, 2023," and Amazon agreed to pay China United undisputed outstanding liquidated damages for its Minimum Quantity Commitment shortfall per the agreement terms.

42. Respondents, in concert with each other, violated §41102(a) when they subsequently attempted to revise the termination of the Service Contract from "for convenience" to "for cause," as a means to eliminate Amazon's Minimum Quantity Commitment from the Service Contract, and avoid paying China United amounts owed for liquidated damages for failure to book the Minimum Quantity Commitment amounts for Contract Years 1 and 2 under the Service Contract.

43. Amazon's post-termination attempt to revise the basis for termination from "for convenience" to "for cause" because of an alleged breach by China United of Section 7 of the Service Contract due to China United's 2022 WeChat posts was entirely pretextual.

44. Amazon was a regular WeChat user, and posted its promotional and informational material on WeChat on nearly a daily basis, and therefore was presumably aware of, or could have

readily seen, the China United posts beginning in August, 2022. But Amazon, having itself published virtually the same information that later appeared in China United's WeChat posts, either did not care about the posts, or was not sufficiently concerned to take any action to invoke Section 7 of the Service Contract, or to send a "cease and desist" notice or otherwise attempt to induce China United to cease such WeChat publication, because at that time the China United Service Contract rates and charges available to Amazon were substantially lower than market rates and charges. Instead, Amazon continued to avail itself of the Service Contract rates for an additional eight months until April 2023.

45. The China United WeChat post caused no discernable harm or disadvantage to Amazon. Amazon had previously posted virtually the same information on WeChat on July 4, 2022, for Amazon's own benefit, and continued to maintain and repost the posted material actively on Amazon's WeChat pages. Amazon apparently also publicized this same information to the trade press beginning in July, 2022 leading to multiple press articles containing this same information about China United providing services to Amazon.

46. By attempting to revise its termination of the Service Contract to "for cause" in such a pretextual manner after having availed themselves of the Service Contract rates and charges for substantial cargo movements and previously terminating such contract "for convenience", triggering a significant liquidated damages obligation, Respondents attempted to obtain ocean transportation at less than the rates or charges that would have otherwise applied either pursuant to Complainant's published rates and charges, or the Service Contract rates and charges, by avoiding the obligation of the Service Contract to pay liquidated damages. Such action constitutes an attempt to: "...directly or indirectly, by ... any other unjust or unfair device or means, obtain

or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply” in violation of section 41102(a) of the Shipping Act.

47. As a direct consequence of Respondents' violation of the Shipping Act, as stated above, Complainant sustained actual injury when Respondents failed to pay Complainant's published rates and charges or to pay Amazon's full obligations in accordance with the Service Contract. Therefore, China United is entitled to an award of reparations for Respondents' violation of 46 U.S.C. § 41102(a). In accordance with 46 C.F.R. § 530.10(e)(ii), the amount of reparations due Complainant for each shipment made by Amazon under the Service Contract is the difference between the published tariff rates and charges at which China United would have carried such cargo in the absence of the Service Contract, and the Service Contract rates and charges, i.e., re-rating of the cargo carried, which in total is approximately \$96,419,259.

48. While Respondents' conduct involves a Service Contract, this is a Shipping Act cause of action arising from Amazon's pattern, practices and determination to obtain ocean transportation services not in accordance with applicable rates, charges, classifications, rules and practices by unjust or unfair device or means, in violation of 46 U.S.C. § 41102(a).

COUNT II - VIOLATIONS OF 46 U.S.C. § 41102(c)
(Failure by Non-Vessel Operating Common Carriers to Establish and Observe Reasonable Practices Regarding Receiving, Handling, Storing or Delivering Property)

49. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

50. The Shipping Act, at 46 U.S.C. §41102(c) provides that:

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

51. The actions set forth above of Respondents Amazon Logistics and Beijing Century, which are ocean transportation intermediaries, constitute failure or establish, observe and enforce reasonable “practices relating to or connected with receiving, handling, storing, or delivering property” within the meaning of Section 41102(c).

52. On information and belief, Respondents have engaged in similar actions, including use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments, such that Respondents’ pattern of activities at different times and with different counterparties, constitutes a “practice” as such has been defined by the Commission.

53. Therefore, China United is entitled to an award of reparations for Respondents’ violation of 46 U.S.C. § 41102(c). In accordance with 46 C.F.R. § 530.10(e)(ii), the amount of reparations due Complainant for each shipment made by Amazon under the Service Contract is the difference between the published tariff rates and charges at which China United would have carried such cargo in the absence of the Service Contract, and the Service Contract rates and charges, i.e., re-rating of the cargo carried, which in total is approximately \$96,419,259.

54. Although Respondents’ conduct involves a Service Contract, this is not a breach of contract cause of action; this is a Shipping Act cause of action arising from Amazon’s pattern of activity constituting a failure to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, in violation of 46 U.S.C. § 41102(c).

COUNT III – VIOLATIONS OF 46 U.S.C. § 41104(a)(1)
(Use of Unlawful Service Agreement Not Imposing a Contractually Enforceable
Shipper Minimum Quantity Commitment)

55. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

56. 46 U.S.C. § 41104(a)(1) prohibits a common carrier from:

“allow[ing] a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means.”

57. Respondents Amazon Logistics and Beijing Century are common carriers as defined in 46 U.S.C. § 40102(7).

58. Respondents Amazon Logistics and Beijing Century were named affiliates in the Service Contract.

59. The form of Service Contract was provided by Amazon. Amazon is among the world’s largest ocean shippers, and has substantial bargaining power over a small ocean carrier such as China United, including the ability to require contract provisions favorable to Amazon.

60. Notably, the original MTA, at Section 5, provided that either party could terminate for convenience, without cause, and in the event of various acts or omissions constituting a breach of the Service Contract, the non-breaching party would give the breaching party notice and a period within which to cure such breach, with a right to terminate only arising if the breaching party failed to cure on a timely basis. However, the original MTA provides unilaterally that in the event of a breach of the “Confidentiality” provisions of MTA Section 7, Amazon may terminate immediately with no opportunity for China United to cure or to cease and desist. Further, while the original MTA stated that in the event of termination of the contract for any reason, either for convenience or for cause, each party would remain obligated to pay accrued contractual amounts due, the Work Order as finally amended materially revised such arrangement so that if Amazon terminated for cause, the Minimum Quantity Commitment would be eliminated altogether. Conversely, the Work Order took away China United’s right to terminate without cause, and further eliminated all

circumstances excusing China United's failure to provide sufficient capacity to lift the Minimum Quantity Commitment except for *force majeure* events. Accordingly, after the Work Order amendment, while Amazon could eliminate exposure to liquidated damages for cargo booking shortfalls merely by terminating for cause, with no right to cure, simply by accusing China United of speaking or writing the word "Amazon" without prior consent, China United could not avoid its obligation to pay liquidated damages for carrier capacity shortfalls under any circumstances.

61. Article 7 of the Service Contract, together with the NDA, imposed on China United a vague obligation not to publicly disclose information about the contractual arrangement, unless such information independently entered the public domain lawfully, and further prohibited China United from "using" Amazon's "name" without expressly obtaining Amazon's vice president's written approval. Amazon's July 4, August 9, and December 9, 2022 WeChat posts disclosing Amazon's and China United ocean shipping arrangement, with vessel schedule and performance information, placed virtually the full substance of the Amazon-China United business relationship in the public domain, on a continuing basis as the Amazon posts remained active and visible on WeChat at all relevant times in the latter part of 2022 and in 2023 up to the date of Amazon's termination of the Service Contract. Amazon also appears to have provided such information to the trade press, whether through its WeChat posts or otherwise, leading to multiple articles published from July 2022 onward containing the same information.

62. The prohibition on China United's "use" of Amazon's "name" without prior written consent in each instance and with no exceptions, while appearing from the contract language to also have been tolled as to confidentiality once Amazon itself put up its July 4, 2022 WeChat post, or was barred by equitable principles due to Amazon's lengthy and self-serving delay in asserting it, also sought to impose a fatally vague obligation. An ocean carrier must disclose the name of

the shippers with cargo loading at origin; for various customs, port and terminal security, regulatory and insurance purposes, such as Verified Gross Mass compliance; and names of shippers with cargo on board in transit for Automated Manifest reporting purposes; and on arrival at destination to the destination terminal, on-carriage transportation service providers, notify parties on bills of lading, and for port state security and other regulatory compliance purposes. It would be impossible for China United as an ocean carrier with thousands of Amazon containers in transit constantly in its possession to obtain separately the written permission of a designated Amazon vice president to consent to each mention Amazon's name under any circumstances where it could be argued China United is "using" Amazon's name.

63. Using such a form of contract, imposed by Amazon with its massively superior bargaining power, gave Amazon, as the Shipper party, a contractual mechanism by which Amazon could continue to utilize China United's favorable contract rates and charges, at a level well below either prevailing market rates and charges or China United's published rates and charges, to move substantial volumes of Amazon's shipments at such highly favorable rates and charges for as long as Amazon desired within the contract term. Then, if and when the market rates receded, Amazon could invoke at will such "no cure and no damages" termination provision based solely upon an allegation of the carrier's alleged trivial use of the word "Amazon," keeping the benefit of the Service Contract rates and charges for tens of thousands of containers when they were advantageous, but cutting the contractual obligation off by eliminating Amazon's Minimum Quantity Commitment entirely from the Service Contract, without any obligation to pay the Service Contract's liquidated damages.

64. China United's WeChat posts, disclosing only information that Amazon itself had previously posted on multiple occasions on WeChat and which remained live and accessible to the

public, including the trade press, were clearly visible to Amazon at all relevant times. Alternatively, even if Amazon claims it was not in fact aware of China United's WeChat posts, the allegedly offending material was in a public social media platform, readily searchable.

65. This form of contract giving a high-volume global shipper party such as Amazon a unilateral "gotcha" right to terminate at an advanced stage of the contract term when the carrier has already provided the bulk of its capacity commitment, simultaneously enabling the shipper to evade and contractually eliminate its minimum quantity commitment altogether without paying contractual liquidated damages, is not a bona fide "service contract" under 46 U.S. Code §40502(c) because the "minimum quantity or portion" is illusory and is not realistically enforceable against the shipper.

66. Alternatively, a form of service contract under which the minimum volume commitment and liquidated damages obligation does not survive termination by the shipper party for any cause other than the carrier's refusal to perform the transportation or acts materially related to the transportation does not meet the Shipping Act or Commission's regulations definition of a "service contract" at 46 C.F.R. §530.3(q).

67. Therefore, China United is entitled to an award of reparations for Respondents' violation of 46 U.S.C. § 41104(a)(1), which prohibits an ocean carrier from allowing carriage of a shipper's cargo at less than established rates and charges by means of "any unjust or unfair device or means." In accordance with 46 C.F.R. § 530.10(e)(ii), the amount of reparations due Complainant for each shipment made by Amazon under the Service Contract is the difference between the published tariff rates and charges at which China United would have carried such cargo in the absence of the Service Contract, and the Service Contract rates and charges, i.e., re-rating of the cargo carried, which in total is approximately \$96,419,929.

68. This is not a breach of contract cause of action; rather, this is a Shipping Act cause of action arising from Amazon's pattern, practice and determination to obtain ocean transportation services not in accordance with applicable rates, charges, classifications, rules and practices by use of a form of ocean service contract without an enforceable shipper minimum volume commitment, which is prohibited by 46 U.S.C. § 41104(a)(1).

**COUNT IV - VIOLATIONS OF 46 U.S.C. § 41104(a)(2)
(Service Not in Accordance with Agreement)**

69. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

70. 46 U.S.C. § 41104(a)(2) prohibits a common carrier from directly or indirectly providing service that is:

...not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract.

71. The Service Contract is a service contract as defined in 46 U.S.C. § 40102(21).

72. Respondents Amazon Logistics and Beijing Century are common carriers as defined in 46 U.S.C. § 40102(7).

73. Respondents negotiated and entered a Service Contract whereby they would receive lower rates and charges for ocean transportation than would otherwise apply in exchange for shipping a guaranteed minimum volume of goods with China United.

74. Respondents Amazon Logistics and Beijing Century were named affiliates in the Service Contract.

75. By Amazon's attempting to revise its termination of the Service Contract from Amazon's initial "convenience" termination, effective as of May 30, 2023, to a termination for "cause" by notice given on June 7, 2023, Respondents made a concerted effort to obtain services

not in accordance with the rates, charges, classifications, rules, and practices contained in the Service Contract.

76. Respondents abused the terms of the Service Contract, specifically regarding the application of the termination provision and attempting to eliminate Amazon's Minimum Quantity Commitment and avoid the liquidated damages provision under the pretense of seeking to terminate for cause, despite the agreement already being terminated effective as of May 30, 2023 per Amazon's written notice, and Respondents already having availed themselves of the Service Contract rates and charges for a substantial number of FEUs during Year 1 while such rates were to their economic advantage. Such action constitutes an "unjust or unfair device or means."

77. Respondents' actions alleged herein violate the Shipping Act requirement that a common carrier may not "allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means." 46 U.S.C. § 41104(a)(1).

78. Therefore, China United is entitled to an award of reparations for Respondents' violation of 46 U.S.C. § 41104(a)(2). In accordance with 46 C.F.R. § 530.10(e)(ii), the amount of reparations due Complainant for each shipment made by Amazon under the Service Contract is the difference between the published tariff rates and charges at which China United would have carried such cargo in the absence of the Service Contract, and the Service Contract rates and charges, i.e., re-rating of the cargo carried, which in total is approximately \$96,419,259.

79. Although Respondents' conduct involves a Service Contract, this is not a breach of contract cause of action; this is a Shipping Act cause of action arising from Amazon's use of an unjust or unfair device or means to obtain ocean transportation services not in accordance with

applicable rates, charges, classifications, rules and practices, which is prohibited by 46 U.S.C. § 41104(a)(2).

**COUNT V – CANCELLATION OF THE SERVICE CONTRACT
(Re-rating cargo under 46 CFR § 530.10(e)(2)(ii))**

80. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

81. The Commission’s service contract regulations 46 C.F.R. § 530.10(a) define a “cancellation” as “...an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.”

82. After Amazon gave notice of termination of the service contract for convenience, and after Amazon attempted to change its notice of termination to “for cause,” and ceased to book any additional cargo to fulfill Amazon’s Minimum Quantity Commitment, the parties to the Service Contract did not enter or file with the Commission a mutually-agreed amendment of the Service Contract in accordance with § 530.10(a) to provide for termination. Accordingly, Amazon’s actions or attempted actions, coupled with Amazon’s refusal to book additional cargo toward the Minimum Quantity Commitment or further perform the Service Contract, constituted a “cancellation” of the Service Contract within the meaning of § 530.10(a) of the Commission’s regulations.

83. The Commission’s Service contract regulations at 46 C.F.R. § 530.10(e) provide that: “...In the event of cancellation as defined in § 530.10(a)(3): (i) Further or continued implementation of the service contract is prohibited; and (ii) The cargo previously carried under the contract shall be re-rated according to the otherwise applicable tariff provisions.”

84. Accordingly, consistent with the Commission's regulations, the Commission should award the Complainant reparations against respondents in the form of re-rating the Amazon cargo booked and carried by Complainant prior to cancellation, in the amount of \$96,419.259.

VII. CAUSATION AND INJURY TO COMPLAINANT

85. As a result of Respondents' violations of the Shipping Act, China United has sustained injuries and monetary damages, including but not limited to loss of the difference between China United's published rates and charges and Service Contract rates and charges on cargo booked. Amazon's unreasonable and unlawful conduct is continuing, and China United continues to sustain injury and damages.

VIII. ALTERNATIVE DISPUTE RESOLUTION

86. Complainant has unsuccessfully attempted to resolve this matter with Respondents prior to filing this Verified Amended Complaint. In light of the prior exchanges and efforts between the principals and counsel, Complainant did not seek to use the FMC's alternative dispute resolution process prior to filing this Verified Amended Complaint.

87. Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution under the FMC's ADR program. 46 C.F.R. § 502.64.

IX. REQUEST FOR ORAL HEARING

88. Complainant requests a hearing on this matter, and further request that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

X. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondents be required to answer the charges in this Amended Complaint, and that after a hearing, the FMC issue an Order:

1. Ordering that Respondents cease and desist from the unlawful conduct;
2. Requiring Respondents to pay Complainant reparations for the unlawful conduct described above, along with interest and Complainant's attorneys' fees and costs as described in 46 U.S.C. § 41305;
3. Requiring the payment of any other amounts that the FMC deems appropriate; and
4. Providing Complainant such other and further relief that the FMC deems is just and proper.

Dated: January 28, 2025

Respectfully Submitted,

HOLLAND & KNIGHT LLP

By: /s/ Vincent J. Foley
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Counsel to Complainant

VERIFICATION

I, Jane WANG, Senior Legal Manager, China United Lines, Ltd., hereby declare and attest under penalty of perjury on behalf of Complainant that I have read the foregoing Verified Amended Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: January 27, 2025

Jane WANG

Name: Jane WANG

Title: Senior Legal Manager